BWA FUNDS

PERFORMANCE & RISK ASSESSMENT

Fund-by-Fund Review | All Portfolios

Data as at 28 February 2026 | Prepared: 23 March 2026

RAG Rating Guide:

•	**GREEN**	Meeting or exceeding expectations. Positive alpha / in-line performance.
•	**AMBER**	On watch. Below-benchmark on 1 or more time horizons. Monitor closely.
•	**RED**	Formal review required. Negative 1-yr return or persistent large negative alpha.

1. Portfolio-Level Performance Summary

All data is net of fees as at 28 February 2026. The benchmark used throughout is the Morningstar Australian Aggregate Target Allocation NR AUD. Figures in brackets represent 3-year annualised unless stated.

Portfolio	1 Yr	3 Yr (p.a.)	5 Yr (p.a.)	2025 Cal Yr	vs Benchmark
BWA Blended Growth	10.74%	10.47%	6.47%	8.85%	Below
BWA Defensive	4.83%	4.50%	1.57%	5.04%	Below
BWA Core Satellite Growth	16.42%	15.15%	—	13.75%	Above
BWA Diversified Growth	11.27%	11.74%	7.83%	9.67%	Below
BWA ESG Growth	4.06%	11.36%	—	7.91%	Below
Benchmark (Morningstar AUS Agg Tgt Alloc)	13.46%	14.21%	10.62%	12.67%	—

Key observations:

- BWA Core Satellite Growth is the standout portfolio, delivering 16.4% over 1 year and 15.1% p.a. over 3 years, outperforming the benchmark by approximately 3pp on each time horizon. Its concentrated equity exposure — especially to small caps and infrastructure — has driven this result.
- BWA Defensive is materially below the benchmark on all time horizons: 4.8% vs 13.5% (1yr), 4.5% vs 14.2% (3yr), 1.6% vs 10.6% (5yr). Given its mandate is fixed income, it uses different benchmarks per asset class, but the absolute return level is modest. The 5-year annualised of just 1.6% is particularly concerning in the context of sustained inflation.
- BWA ESG Growth shows a large 1yr vs 3yr divergence (4.1% vs 11.4%). The portfolio suffered from its ETHI holding declining -5% in 1 year and from negative returns in key international equity ETFs in recent months. The February 2026 month return was -0.16%, the only portfolio to record a negative month.
- BWA Blended Growth (10.7% 1yr) and BWA Diversified Growth (11.3% 1yr) are both underperforming the benchmark (13.5% 1yr) due to individual fund headwinds detailed in Sections 3 and 4 below.

2. Market Context — Year to 28 Feb 2026

Performance results must be read in the context of a complex and divergent market environment:

Index / Benchmark	1 Yr%	2025 Cal Yr	2024 Cal Yr	Key Driver
S&P/ASX 200 TR AUD	16.2%	10.3%	11.4%	Basic materials rally
S&P/ASX Small Ords TR AUD	23.0%	25.0%	8.4%	Small cap resurgence
MSCI World NR AUD	5.9%	12.4%	30.8%	AUD strength dampened
MSCI ACWI Hdg AUD	21.5%	19.9%	19.7%	Strong hedged returns
MSCI EM NR AUD	30.9%	24.0%	18.5%	EM rebound led by Asia
Bloomberg AusBond Composite 0+yr	3.1%	3.2%	2.9%	Rate cuts (RBA -75bp)
Bloomberg Global Agg Hdg AUD	4.5%	4.4%	2.2%	Duration recovery
RBA Cash Rate	3.9%	4.0%	4.5%	RBA easing cycle

The key environmental features relevant to portfolio performance include: (1) hedged global equities significantly outperforming unhedged due to AUD appreciation; (2) emerging markets delivering exceptional returns, making underweights in EM-exposed funds particularly costly; (3) Australian small caps surging — the Small Ordinaries returned 23% in 1 year, making the deployment gap in Macquarie Small Companies and the zero investment in Pzena EM extremely costly; and (4) technology/growth style underperformance in AUD terms as the USD weakened.

3. Funds Requiring Formal Review — RED Rated

The following funds are RAG-rated RED and require formal investment committee review. All returns net of fees, as at 28 February 2026.

3.1 Macquarie P/E Global FX Alpha Fund (MAQ9788AU) — Alternatives

1-yr: -16.7% | 3-yr p.a.: +1.9% | 5-yr p.a.: +8.2% | 2025: -13.0% | Alpha 1-yr: -24.8

This is the single worst-performing fund in the entire BWA portfolio book. In 2025, the fund lost -13% while many comparable alternatives strategies produced positive returns. The 1-year alpha of -24.8 is extraordinary — this means the fund underperformed its benchmark by nearly 25 percentage points over 12 months. The fund strategy involves global FX alpha generation (currency relative value trading), which can be highly volatile and subject to abrupt style reversals. The 5-year annualised return of 8.2% indicates the strategy has historically worked, but the recent drawdown is severe.

The fund volatility (standard deviation 17.3% — comparable to equity funds) is not commensurate with its role as an 'Alternatives' allocation, which is typically expected to provide diversification and lower correlation to equity markets. The fund is held in both BWA Blended Growth and BWA Diversified Growth at 1.5–2.5% allocations.

3.2 GQG Partners Global Equity Fund — AUD Hedged Class (ETL0666AU)

1-yr: +1.2% | 3-yr p.a.: +15.0% | 5-yr p.a.: +11.0% | 2025: -5.0% | Alpha 1-yr: -8.4 | Downside Capture 1-yr: 151

GQG delivered a calendar year loss of -5.0% in 2025, while the hedged global equity benchmark returned +19.9%. This represents a 25 percentage point gap in a single calendar year. The 1-year alpha of -8.4 and downside capture ratio of 151 means the fund captures 151% of the market's downside while delivering materially less than the market's upside. The 3-year return of 15% suggests the strategy can work, but the recent underperformance is extreme. GQG's concentrated quality/growth style has suffered from sector rotation away from US technology and growth stocks.

Critically, when compared to Ironbark Robeco (DAM5404AU) — an enhanced index fund also held in the same portfolios — GQG underperformed by approximately 19 percentage points over 1 year. This comparison raises questions about whether the active fee premium for GQG is justified given the outcome.

3.3 L1 Capital International Fund Z Class (ETL7165AU)

1-yr: -5.1% | 3-yr p.a.: +17.7% | 2025: +10.5% | Alpha 1-yr: -10.6 | Downside Capture 1-yr: 137

L1 Capital International recorded a -5.1% return over the past 12 months, despite the hedged global equity benchmark returning +21.5%. The fund hit its 52-week low on exactly 13 March 2026 — the date of the most recent portfolio snapshot — suggesting ongoing deterioration. The downside capture ratio of 137 indicates the fund is capturing significantly more market downside than upside in recent periods.

The 3-year return of 17.7% p.a. is strong and suggests the fund has historically added value. This creates a tension: is recent underperformance a temporary style dislocation, or the beginning of a structural problem? The fund is meaningfully underweight in both BWA Blended Growth (-9.4% relative) and BWA Diversified Growth (-6.7% relative), which may reflect a deliberately cautious view given recent performance.

3.4 Artisan Global Discovery Fund (OPS8304AU)

1-yr: -3.0% | 3-yr p.a.: +12.2% | 5-yr p.a.: +6.6% | 2025: +3.9% | Alpha 1-yr: -17.9 | Downside Capture 1-yr: 178

Artisan's 1-year alpha of -17.9 is the largest absolute negative alpha in the portfolio — even worse than GQG. The downside capture of 178 means the fund captures 178% of market downside, an alarming ratio for an active manager. The fund returned -3% over 12 months vs the global equity benchmark returning +5.9–21.5% (depending on hedging). Its style bias towards smaller, more innovative global companies has suffered in an environment driven by megacap leadership and value/cyclical rotation.

The 5-year return of 6.6% p.a. lags the MSCI World meaningfully. Only the 3-year return (12.2%) provides some vindication, likely reflecting 2022–2023 strong performance that is now being diluted.

3.5 Betashares Global Sustainability Leaders ETF (ETHI) [ESG Portfolio]

1-yr: -5.0% | 3-yr p.a.: +13.3% | 5-yr p.a.: +10.9% | 2025: +4.1% | Alpha 1-yr: -10.7 | Downside Capture 1-yr: 145

Within the BWA ESG Growth portfolio, ETHI is a significant drag. Its 20% target allocation makes it the single largest international equity position in that portfolio, yet it has returned -5.0% over 12 months. Both peer ESG ETFs

in the same portfolio — VESG (+5.0%) and IWLD (+6.2%) — significantly outperformed ETHI. ETHI's concentrated US large-cap growth construction (50 stocks, heavily weighted to US tech) has been hurt by USD weakness and tech sector underperformance in AUD terms.

Given the ESG portfolio now holds three international equity ETFs (ETHI, VESG, IWLD), each at 20%, the committee should assess whether ETHI's more concentrated construction serves a differentiated purpose or whether its allocation should be redistributed to the better-performing alternatives.

4. Funds on Watch — AMBER Rated

The following funds are RAG-rated AMBER. They are underperforming on specific metrics but do not require immediate formal review. They should be monitored closely at each quarterly committee meeting.

4.1 Australian Equities — AMBER

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
Greencape High Conviction	4.0%	9.6%	8.9%	-0.3%	13.3%	-9.7%	-2.5	●
CC Sage Capital Equity Plus	7.7%	10.0%	11.5%	6.7%	15.2%	-5.4%	-2.5	●
Ellerston AUS Emerging Leaders	6.0%	17.3%	—	12.7%	35.9%	-17.6%	-1.5	●

Greencape had a negative 2025 calendar year (-0.25%) despite being Morningstar's 2024 Large Cap Manager of the Year — its quality/growth bias suffered from the basic materials-led Australian market. CC Sage Capital underperformed the ASX 200 by 8.5pp in 1 year; its long/short approach generated negative alpha despite positive absolute returns. Ellerston has an extreme 1-year alpha of -17.6 vs small ordinaries, though the 3-year picture (+5.8 alpha) is more favourable.

4.2 International Equities — AMBER

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
T. Rowe Price Global Equity Hdg	14.2%	15.6%	4.1%	12.0%	19.4%	-4.1%	-2.0	●
GQG Partners Emerging Markets Z	10.2%	16.6%	6.3%	3.4%	16.3%	-2.6%	-2.4	●
VESG Vanguard Ethically Conscious Glb	5.0%	18.9%	13.5%	12.4%	31.6%	-0.8%	-0.4	●
iShares MSCI Wld Ex-Aus ESG (IWLD)	6.2%	19.1%	15.1%	11.9%	31.1%	0.3%	0.2	●

T. Rowe Price's 5-year return of just 4.1% p.a. is the most concerning metric — materially below the hedged MSCI World at 11.5%. While the 1-year (14.2%) and 3-year (15.6%) returns are more acceptable, the medium-term structural underperformance demands a formal 5-year attribution review. GQG Emerging Markets is on amber primarily due to a weak 2025 (+3.3%) despite EM benchmark returning 24%. VESG and IWLD are on amber as their 1-year returns (+5% and +6%) lag the broader MSCI World benchmark, though their 3-year records are strong.

4.3 Fixed Interest — AMBER

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
Legg Mason Western Asset AUS Bond	3.4%	4.1%	0.8%	3.5%	3.5%	0.23	1.39	●
Vanguard Global Aggregate Bond Hdg (VBND)	4.5%	4.2%	-0.4%	4.6%	1.3%	-0.02	0.05	●

Western Asset Australian Bond (3.4% 1yr) is the weakest active fixed income fund but has a positive alpha and IR, suggesting it is adding value over its benchmark — its absolute return is constrained by the Australian bond market environment. VBND is structurally challenged: a 5-year annualised return of -0.44% means investors have lost money in real terms over the medium term. The 2022 loss of -14.1% continues to weigh on multi-year figures. The fund's persistent underweight across all portfolios (-20% to -40% relative) is consistent with a deliberate duration underweight decision.

4.4 Property & Infrastructure — AMBER

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
Quay Global Real Estate Hedged (BFL3333AU)	5.7%	4.8%	—	1.3%	-1.0%	-5.0%	-1.88	●
Macquarie True Index Global RE (MAQ0832AU)	2.1%	7.0%	6.1%	1.7%	11.2%	-9.2%	-2.74	●

Both real estate holdings are underperforming their benchmarks significantly. Quay Hedged returned only 1.3% in 2025 with a negative 2024. The unhedged version (RED rated) is worse at -2.3% in 2025. The listed infrastructure counterparts (4D) are dramatically outperforming real estate — raising questions about the current portfolio weight to listed real estate vs infrastructure.

5. Funds Performing Well — GREEN Rated

Data as at 28 February 2026, net of fees. Benchmarks: ASX 200 (Australian equities), MSCI World/ACWI hedged (intl equities), Bloomberg AusBond Composite (Aus fixed income), Bloomberg Global Agg Hdg (intl FI), FTSE Global Core Infra (infrastructure).

5.1 Full Performance Table — All Green-Rated Funds

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
DNR Emerging Companies (PIM4357AU)	44.0%	23.5%	16.8%	31.4%	25.9%	11.0%	2.0%	●
Pzena Emerging Mkts Value (ETL0483AU)	32.0%	23.7%	15.7%	26.2%	16.1%	10.4%	0.2%	●

Fund	1 Yr%	3 Yr%	5 Yr%	2025	2024	Alpha 1Y	IR 1Y	RAG
BetaShares SMLL Aus Small Cos Select ETF	35.8%	14.8%	9.2%	36.0%	4.5%	7.8%	1.5%	●
4D Global Infrastructure Hedged (BFL3306AU)	31.1%	12.8%	—	18.4%	1.0%	14.1%	1.5%	●
4D Global Infrastructure (BFL0019AU)	27.6%	15.1%	13.2%	20.5%	5.8%	18.6%	2.3%	●
Arrowstreet Global Small Cos (MAQ8493AU)	24.6%	—	—	16.3%	23.2%	11.5%	1.8%	●
Macquarie Aus Small Cos (MAQ0454AU)	24.4%	15.1%	11.3%	29.4%	13.4%	-1.1%	0.3%	●
Ironbark Robeco Global Dev Enh Hdg (DAM5404AU)	20.0%	20.9%	—	19.2%	21.8%	0.1%	0.7%	●
BetaShares NASDAQ 100 Hedged (HNDQ)	18.8%	26.1%	12.3%	19.5%	23.5%	16.4%	2.2%	●
Macquarie Hedged Index Intl Eq (MAQ0421AU)	18.6%	19.4%	12.1%	18.5%	20.3%	-1.2%	-2.0%	●
Alphinity Sustainable Share (HOW0121AU)	16.8%	12.9%	10.4%	9.3%	14.3%	-1.9%	0.2%	●
Macquarie True Index AUS Shares (MAQ0288AU)	16.4%	12.2%	10.6%	10.7%	11.4%	0.3%	0.6%	●
Vanguard VETH Ethically Conscious AUS	14.3%	12.7%	10.3%	11.5%	15.2%	-1.1%	-0.7%	●
T. Rowe Price Global Equity Hdg (ETL1864AU) *	14.2%	15.6%	4.1%	12.0%	19.4%	-4.1%	-2.0%	●
ESTX Global X EURO STOXX 50 ETF	13.5%	17.5%	14.6%	27.1%	14.2%	-0.8%	-0.6%	●
Aspect Diversified Futures (FSF1086AU)	15.0%	5.2%	13.2%	0.6%	7.7%	0.6%	0.7%	●
CT Pyrford Global Abs Return (PER0728AU)	8.4%	8.9%	7.8%	7.8%	9.0%	2.6%	-0.1%	●
PIMCO Income Fund Wholesale (ETL0458AU)	8.5%	7.2%	2.9%	9.9%	4.2%	4.6%	1.8%	●
Colchester EM Bond Fund (ETL3065AU)	7.4%	10.1%	6.3%	13.7%	3.6%	2.7%	0.9%	●
Realm Strategic Income Enduring (OMF5868AU)	5.5%	8.7%	7.6%	8.3%	10.5%	3.0%	0.7%	●
Macquarie True Index Global Infra (MAQ0831AU)	9.1%	11.5%	12.0%	6.3%	20.4%	0.0%	0.8%	●
Yarra Enhanced Income (JBW0018AU)	5.7%	7.6%	5.6%	5.9%	8.7%	1.6%	-0.1%	●
VanEck Australian Sub Debt (SUBD)	5.6%	6.5%	4.5%	5.7%	7.2%	0.3%	-1.6%	●
Macquarie Sub Debt Active ETF (MQSD)	6.4%	—	—	—	—	2.3%	0.2%	●
AB Dynamic Global Fixed Income (ACM0001AU)	5.2%	5.9%	2.6%	5.4%	5.3%	1.5%	1.0%	●
Realm Short Term Income (OMF3725AU)	5.0%	6.1%	4.4%	5.4%	6.9%	1.2%	-0.5%	●

* T. Rowe Price shown here for reference but is amber-rated based on its 5-year annualised return of 4.1% — significantly below its benchmark.

6. Key Observations & Recommended Actions

Priority actions arising from the performance review, ordered by urgency:

6.1 Funds Requiring Immediate Action

Fund	Key Observation	Recommended Action
Macquarie P/E Global FX Alpha (MAQ9788AU)	1-yr return -16.7%; 2025: -13.0%; alpha 1-yr -24.8. Worst performing fund in the entire book. Extreme negative alpha. Very high volatility (StdDev 17.3%).	Urgent manager review. Place on formal watchlist. Consider redemption unless manager provides compelling explanation for style/strategy dislocation.
GQG Partners Global Equity Hedged (ETL0666AU)	1-yr return +1.2%; 2025: -5.1%; alpha 1-yr -8.4. Downside capture 150 — captures significantly more downside than upside. Lagging hedged benchmark by over 20pp in 1 year.	Formal review with manager. Understand what drove underperformance vs peers in the same asset class. Compare to Ironbark Robeco (+20%) held side-by-side.
L1 Capital International Z (ETL7165AU)	1-yr return -5.1%; alpha 1-yr -10.6; downside capture 137. Fund hit 52-week low on 13 Mar 2026. Strong 3-yr (17.7%) but severe recent reversal. High volatility vs peers.	Review with manager. Assess whether recent underperformance reflects portfolio positioning that is expected to reverse, or structural style headwinds.
Artisan Global Discovery (OPS8304AU)	1-yr return -3.0%; alpha 1-yr -17.9 — the largest negative alpha of any active equity fund. 2025: +3.9% vs benchmark +19.9%. Downside capture 178 in 1-yr.	Formal watchlist. 1-year alpha of -17.9 is extremely poor. Despite reasonable 3-yr (12.2%), recent performance is deeply concerning. Manager review required.

6.2 Funds to Monitor Closely

Fund	Key Observation	Recommended Action
Greencape High Conviction (HOW0035AU)	1-yr return 4.1%; 2025: -0.2% (negative calendar year). Alpha 1-yr -9.7; downside capture 135. Benchmark (ASX200) returned 16.2% in 1 yr. Held in Blended Growth and Diversified Growth.	Review — this was Morningstar's 2024 Large Cap manager of the year but has underperformed sharply in 2025. Confirm if portfolio manager changes or style shift are contributing.
Quay Global Real Estate Unhedged (BFL0020AU)	1-yr return -3.8%; 2025: -2.3%; alpha 1-yr -11.8; downside capture 137. Significantly underperforming vs listed real estate benchmarks and vs the hedged version of the same fund.	Compare hedged vs unhedged — the hedged version (BFL3333AU) returned +5.7% over 1 yr. Consider whether the unhedged exposure continues to serve portfolio needs given the currency drag.
Betashares ETHI - Global Sustainability Leaders [ESG]	1-yr return -5.0%; 2025: +4.1%; alpha 1-yr -10.7; downside capture 145. Worst performing ESG holding. Significantly lagging MSCI World and peer ESG funds like IWLD (+6.2%) and VESG (+5.0%).	Review — ETHI's concentrated large-cap US tech tilt has reversed sharply. Consider whether its construction (50 stocks) is too concentrated vs broader ESG alternatives already held.

Ellerston AUS Emerging Leaders (ECL6748AU)	1-yr return 5.9%; 2025: 12.7%; alpha 1-yr -17.6. Extreme negative 1-yr alpha vs the small ordinaries benchmark, though the 3-yr alpha (+5.8) is positive. Highly volatile (std dev 18%).	Monitor. The 1-yr alpha is misleading due to benchmark composition — confirm benchmark used. Given high volatility and short track record (inception 2021), monitor ongoing vs the 3-yr peer group.
T. Rowe Price Global Equity Hdg (ETL1864AU)	1-yr return 14.2% — superficially adequate. However 5-yr return 4.1% vs MSCI World hedged 11.5% and benchmark 11.5%. Significant structural underperformance over medium term. Alpha 1-yr -4.1.	Formal medium-term review. 5-year annualised of 4.1% vs peers above 10% represents material value destruction. Request updated 5-year attribution from manager.
VBND Vanguard Global Aggregate Bond Hedged	5-yr return -0.44% p.a. — the only fund with negative 5-year annualised returns in the book. 2022 lost -14.1%; 2024 returned only +1.3%. Persistently underweight in portfolios. Downside capture 111 over 1 yr.	Formal strategic review. Persistent underweight may reflect deliberate duration aversion — if so, document this as an active tilt. Alternatively, consider whether a shorter-duration substitute (e.g. SUBD) is more appropriate.

6.3 Standout Performers — Sizing Review

Fund	Key Observation	Recommended Action
DNR Emerging Companies (PIM4357AU)	1-yr +44.0%; 3-yr +23.5% p.a.; 5-yr +16.8% p.a. Alpha 1-yr +11.0. Best performing fund in the book on all time horizons. 2025: +31.4%, 2024: +25.9%. High volatility (StdDev 18.3%) but compensated by returns.	Maintain. Consider whether allocation is sized appropriately given the risk-adjusted contribution. Confirm capacity and whether position can be further increased given strong alpha generation.
Pzena Emerging Markets Value (ETL0483AU)	1-yr +32.0%; 3-yr +23.7% p.a.; 5-yr +15.7% p.a. Alpha 1-yr +10.5. Excellent returns with low volatility (StdDev 7.7%). One of the most efficient risk/return profiles in the portfolio. 2025: +26.2%.	Maintain and fully fund. The BWA Growth portfolio has this at zero allocation despite a 4.5% target — this is an urgent funding gap given the fund's track record.
4D Global Infrastructure (BFL0019AU)	1-yr +27.6%; 3-yr +15.1% p.a.; 5-yr +13.2% p.a. Alpha 1-yr +18.5. Strong across all time periods. 2025: +20.5%. Hedged version (BFL3306AU) returned +31.1% in 1 yr.	Maintain. Both the hedged and unhedged versions are performing well. Consider whether the hedged version should receive a larger allocation given its stronger recent return and lower FX risk.
Macquarie Australian Small Cos (MAQ0454AU)	1-yr +24.4%; 3-yr +15.1% p.a.; 5-yr +11.3% p.a. 2025: +29.4%. Alpha 3-yr +2.4. Consistent, well-funded fund. Despite strong performance, severely underweight in BWA Core (-83.5%) and BWA Growth (-36.5%).	Urgently deploy capital to target. The opportunity cost of the underweight is material given 29% return in 2025.
PIMCO Income Fund Wholesale (ETL0458AU)	1-yr +8.5%; 3-yr +7.2% p.a.; 2025: +9.9%. Alpha 1-yr +4.6, IR 1-yr +1.8. Highest-returning active fixed income fund in the book. Consistent alpha generation against fixed income benchmarks.	Maintain overweight where present. The strategic overweight in BWA Blended Growth and Defensive portfolios appears justified by the fund's track record.
BetaShares NASDAQ 100 Hedged (HNDQ)	1-yr +18.8%; 3-yr +26.1% p.a. Alpha 1-yr +16.4. Passive ETF. Exceptional returns but very high volatility (StdDev 15.4%). Sector concentration in US tech. Hit 52-week low of $33 in Apr 2025 (post-tariff shock), recovered to $49+.	Monitor position sizing. Strong returns but 35% drawdown in April 2025 illustrates the tail risk. Ensure sizing is consistent with risk budget across portfolios.
CT Pyrford Global Absolute Return (PER0728AU)	1-yr +8.4%; 3-yr +8.9% p.a.; 5-yr +7.8% p.a. Maximum 12-month drawdown only -0.8%.	Maintain. Pyrford is doing exactly what it is designed to do — providing genuine capital

	Consistently achieving its CPI+4% objective. Low correlation to equities.	preservation and diversification in a volatile market environment.
Realm Strategic Income Enduring (OMF5868AU)	1-yr +5.5%; 3-yr +8.6% p.a.; 5-yr +7.6% p.a. 2025: +8.3%, 2024: +10.5%. Best returning income/fixed interest fund by 3 and 5-year annualised. Alpha 3-yr +4.9, IR 3-yr +3.1.	Maintain. This monthly-liquid fund is delivering superior risk-adjusted income returns. Consider whether the current small allocation (2% in Blended Growth, 5% in Defensive) is optimally sized.

7. Cross-Portfolio Themes & Structural Observations

7.1 The Infrastructure vs Real Estate Divergence is Striking

4D Global Infrastructure (both hedged and unhedged versions) returned 27–31% over 1 year. Both Quay Real Estate funds returned -4% to +6%. The FTSE Global Core Infrastructure index also significantly outperformed FTSE EPRA Global REITs. This pattern is consistent across all time periods. The committee should review whether the current allocation split between infrastructure and real estate across all portfolios remains appropriate, or whether infrastructure deserves a structurally larger weight.

7.2 Currency Hedging Has Been Critical — Unhedged Positions Have Underperformed

Across almost every asset class, hedged versions have outperformed their unhedged equivalents over the past year due to AUD appreciation vs USD and other currencies. MSCI ACWI Hedged AUD returned +21.5% vs MSCI World unhedged +5.9%. Quay Real Estate Hedged returned +5.7% vs Quay Unhedged -3.8%. Ironbark Robeco Hedged returned +20% vs the Unhedged version +8.3%. The committee should consider whether any remaining unhedged equity exposure is appropriately sized given this environment.

7.3 Emerging Markets Has Been the Strongest Asset Class — Underweights are Costly

The MSCI EM returned 30.9% over 1 year and 24% in 2025. DNR Emerging Companies returned 44% (1yr) and Pzena Emerging Markets returned 32% (1yr). GQG Emerging Markets returned only 10% — significantly underperforming both the benchmark and the other EM-focused fund. The committee should review whether GQG EM's mandate, construction and fees are appropriate given this level of underperformance vs the EM benchmark and vs Pzena.

7.4 Active Australian Equities Managers are Struggling

Every active Australian equity manager underperformed the ASX 200 on a 1-year alpha basis except DNR Emerging Companies: Greencape (-9.7), Ellerston (-17.6), CC Sage (-5.4). The only fund delivering positive 1-year alpha is DNR. Macquarie Small Cos (-1.1 alpha) is close to benchmark, while the Macquarie True Index fund (+0.35 alpha) is essentially tracking. The committee should consider whether the active fee premium across Greencape, Sage, and Ellerston is justified in the current environment, particularly given the strong performance of passive alternatives.

7.5 Fixed Income is Generating Meaningful Active Returns

In contrast to equities, active fixed income managers are adding value. PIMCO Income (+8.5% 1yr, alpha +4.6), Realm Strategic Income (+5.5% 1yr, alpha +3.0), Colchester EM Bond (+7.4% 1yr, alpha +2.7), and AB Dynamic Global FI (+5.2% 1yr, alpha +1.5) are all generating positive alpha against their benchmarks. Yarra Enhanced Income has won multiple industry awards and is generating above-benchmark returns. Fixed income appears to be the area of the portfolio where active management is earning its fees most consistently.

7.6 Hybrid/Capital Notes are Returning Below Cash Rate

With the RBA cash rate at approximately 3.9%, the capital notes are returning between 3.5% (NABPF) and 7.1% (MQGPG). While MQGPG is delivering a reasonable premium to cash, NABPF (3.5%) and PERLS XII (3.8%) are

effectively returning at or below the cash rate. Given the subordinated credit risk embedded in these instruments (which rank below senior debt), the risk premium appears thin at current levels for the lower-yielding notes.

8. Summary Scorecard — All Funds

Summary of RAG ratings across all active fund holdings as at 28 February 2026 (net of fees):

Fund	APIR	Asset Class	1 Yr%	3 Yr%	Alpha 1Y	RAG
Macquarie P/E Global FX Alpha	MAQ9788AU	Alternatives	-16.7%	1.9%	-24.8	●
GQG Partners Global Equity Hdg	ETL0666AU	Intl Equities	1.2%	15.0%	-8.4	●
L1 Capital International Z	ETL7165AU	Intl Equities	-5.1%	17.7%	-10.6	●
Artisan Global Discovery	OPS8304AU	Intl Equities	-3.0%	12.2%	-17.9	●
Betashares ETHI (ESG)	ETHI	Intl Equities	-5.0%	13.3%	-10.7	●
Quay Global Real Estate Unhedged	BFL0020AU	Prop & Infra	-3.8%	5.2%	-11.8	●
Greencape High Conviction	HOW0035AU	Aus Equities	4.0%	9.6%	-9.7	●
CC Sage Capital Equity Plus	CHN8862AU	Aus Equities	7.7%	10.0%	-5.4	●
Ellerston AUS Emerging Leaders	ECL6748AU	Aus Equities	6.0%	17.3%	-17.6	●
T. Rowe Price Global Equity Hdg	ETL1864AU	Intl Equities	14.2%	15.6%	-4.1	●
GQG Partners Emerging Markets Z	ETL4581AU	Intl Equities	10.2%	16.6%	-2.6	●
VESG Ethically Conscious Global	VESG	Intl Equities	5.0%	18.9%	-0.8	●
iShares MSCI Wld Ex-Aus ESG (IWLD)	IWLD	Intl Equities	6.2%	19.1%	0.3	●
Legg Mason Western Asset AUS Bond	SSB0122AU	Aus Fixed Int	3.4%	4.1%	0.2	●
Vanguard Global Agg Bond Hdg (VBND)	VBND	Intl Fixed Int	4.5%	4.2%	-0.0	●
Quay Global Real Estate Hedged	BFL3333AU	Prop & Infra	5.7%	4.8%	-5.0	●
Macquarie True Index Global RE	MAQ0832AU	Prop & Infra	2.1%	7.0%	-9.2	●
Capital Notes (NABPF, CBAPI, MQGPD, MQGPG)	Various	Hybrids	4.6%	—	—	●
DNR Emerging Companies	PIM4357AU	Aus Equities	44.0%	23.5%	11.0	●
Macquarie Australian Small Cos	MAQ0454AU	Aus Equities	24.4%	15.1%	-1.1	●
Macquarie True Index AUS Shares	MAQ0288AU	Aus Equities	16.4%	12.2%	0.3	●

Alphinity Sustainable Share	HOW0121AU	Aus Equities	16.8%	12.9%	-1.9	●
Vanguard VETH Ethically Conscious	VETH	Aus Equities	14.3%	12.7%	-1.1	●
BetaShares SMLL Aus Small Cos ETF	SMLL	Aus Equities	35.8%	14.8%	7.8	●
Ironbark Robeco Global Dev Enh Hdg	DAM5404AU	Intl Equities	20.0%	20.9%	0.1	●
Macquarie Hedged Index Intl Eq	MAQ0421AU	Intl Equities	18.6%	19.4%	-1.2	●
BetaShares NASDAQ 100 Hedged	HNDQ	Intl Equities	18.8%	26.1%	16.4	●
Pzena Emerging Markets Value	ETL0483AU	Intl Equities	32.0%	23.7%	10.4	●
Arrowstreet Global Small Cos	MAQ8493AU	Intl Equities	24.6%	—	11.5	●
ESTX Global X EURO STOXX 50 ETF	ESTX	Intl Equities	13.5%	17.5%	-0.8	●
PIMCO Income Wholesale	ETL0458AU	Intl Fixed Int	8.5%	7.2%	4.6	●
Yarra Enhanced Income	JBW0018AU	Intl Fixed Int	5.7%	7.6%	1.6	●
AB Dynamic Global Fixed Income	ACM0001AU	Intl Fixed Int	5.2%	5.9%	1.5	●
VanEck AUS Sub Debt ETF (SUBD)	SUBD	Aus Fixed Int	5.6%	6.5%	0.3	●
Macquarie Sub Debt Active (MQSD)	MQSD	Aus Fixed Int	6.4%	—	2.3	●
Realm Short Term Income	OMF3725AU	Aus Fixed Int	5.0%	6.1%	1.2	●
Realm Strategic Income Enduring	OMF5868AU	Aus Fixed Int	5.5%	8.7%	3.0	●
Colchester EM Bond Fund	ETL3065AU	Intl Fixed Int	7.4%	10.1%	2.7	●
4D Global Infrastructure	BFL0019AU	Prop & Infra	27.6%	15.1%	18.6	●
4D Global Infrastructure Hedged	BFL3306AU	Prop & Infra	31.1%	12.8%	14.1	●
Macquarie True Index Global Infra	MAQ0831AU	Prop & Infra	9.1%	11.5%	0.0	●
CT Pyrford Global Abs Return	PER0728AU	Alternatives	8.4%	8.9%	2.6	●
Aspect Diversified Futures	FSF1086AU	Alternatives	15.0%	5.2%	0.6	●

Document prepared using performance data as at 28 February 2026. Returns are net of fees. Alpha is calculated vs the benchmark shown in the Genium Freedom system. Past performance is not indicative of future returns. This document is prepared for investment committee use only.